

one of my regular readers pointed out, we designate these firms as the Big Five “not only because they’re enormous, but also because they have a variety of funds that cover every investment style and segment you could wish for. If you’re just starting out, you should probably pick one family and stay with it. You’ll be able to track all your investments more easily in one place.”

I explored each company’s website to discover what sorts of Roth IRA options they offered for beginning investors. Here’s what I found.

Fidelity Investments (Fidelity.com) offers an IRA with a \$4.95 fee for online US equity trades. There’s no minimum to open the account, but certain investments, like mutual funds, require a minimum initial investment. Investment options include: mutual funds, stocks, bonds, ETFs, and FDIC-insured CDs. offer 4,500 mutual funds, about a quarter of which have no transaction fee.

Vanguard Group (Vanguard.com) also offers a no-cost Roth IRA. To do this, you must start with \$1,000 in the company’s STAR or Target Retirement funds. There are no fees to purchase the STAR fund.

The information here will get you started with the minimum investment and the lowest costs. If you have more money at your disposal,

you have more options. It’s possible to make much more sophisticated trades with each of these places—purchasing stocks, for example—but not for free. All the companies mentioned in this article update their plans frequently. Therefore I encourage you to look more closely at each company’s website, and to read the literature for each investment you consider.

DISCOUNT BROKERS

Discount brokers appeal to many people because they have a low barrier to entry. They offer lower fees than traditional brokers because they don’t have research departments and they don’t offer investment advice. They only act as middlemen for trading in the market.

I opened my Roth IRA at Share Builder.com, which is now Capital OneInvesting.com (which refers you to US.etrade.com) after reading David Bach’s *The Automatic Millionaire*. It felt great to finally open a retirement account. (Seriously—I was stoked.) E-Trade charges a custodial fee, an alternative investment fee of \$250 per position for a Roth IRA. Because I’m careful, I’m not hit with a lot of fees. Though I love how easy it is to automate investing through E-Trade, my research for this article revealed two